BEFORE THE EXECUTIVE DIRECTOR, DEPARTMENT OF REVENUE
STATE LICENSING AUTHORITY
STATE OF COLORADO

Case Number: 25M033

STIPULATION, AGREEMENT AND ORDER

IN THE MATTER OF:

Grateful Grove, LLC
Retail Marijuana Cultivation Facility License No. 403R-01461

Danielle Marie Sherman
Owner – Individual License No. M155573

Licensees.

MED Complaint No. 2024-0327

THIS STIPULATION, AGREEMENT, AND ORDER ("Order") between the Department of Revenue, Marijuana Enforcement Division ("Division"), and Grateful Grove, LLC (Retail Marijuana Cultivation Facility License No. 403R-01461), and Danielle Marie Sherman ("Sherman") (Owner – Individual No. M155573), (collectively "Licensees"), is offered for the purposes of settlement and to avoid the uncertainty and cost of future administrative action. The Division and Licensees submit to and agree as follows:

1. The Executive Director of the Department of Revenue as the State Licensing Authority ("State Licensing Authority") has jurisdiction over the Licensees and the subject matter herein pursuant to the provisions of subsection 44-10-201(1)(a), C.R.S.

2. Licensees has been the subject of an investigation conducted by the Division. The Division alleges violations of the Colorado Marijuana Code, sections 44-10-101 *et seq*., C.R.S. ("Marijuana Code"), and the rules promulgated pursuant to the Marijuana Code at 1 CCR 212-3 ("Rules").

3. Sherman is licensed by the State Licensing Authority as the [redacted] Owner of Retail Marijuana Cultivation Facility License No. 403R-01461.

4. Pursuant to Marijuana Code subsection 44-10-202(1)(b), the State Licensing Authority may suspend, fine, restrict, or revoke such licenses, whether active, expired, or surrendered, if the Licensee violates the Colorado Marijuana Code or the rules promulgated pursuant to the Colorado Marijuana Code.

5. Pursuant to Marijuana Code subsection 44-10-901(1), the State Licensing Authority has the power, on its own motion or on complaint, after investigation and opportunity for a public hearing at which the licensee shall be afforded an opportunity to be heard, to fine, suspend, or revoke a license or impose any other sanction authorized by the Marijuana Code or Marijuana Rules, for a violation by the licensees or any of the agents or employees of the licensees.

6. The State Licensing Authority served an Order to Show Cause, Notice of Hearing, and Notice of Duty to Answer ("OTSC") on Licensees on September 10, 2025, attached hereto as **Exhibit 1**.

7. This matter was set for a two (2) day administrative hearing beginning on February 17, 2026.

8. The Division and Licensees have come to a mutual agreement and understanding to jointly propose to the State Licensing Authority a resolution of the allegations against Licensees, in lieu of proceeding to hearing to determine the merits of such allegations in an Order to Show Cause.

9. The terms and conditions of this Order are subject to approval by the State Licensing Authority.

10. Licensees admit to the facts and violations plead in the OTSC attached hereto as **Exhibit 1**.

11. The Division and Licensees agree, in lieu of proceeding with an administrative hearing and subsequent proceedings, to the following:

    a. Licensees agree to pay, and to be jointly and severally responsible for the payment of a fine in the amount of **$30,000.00**. The fine shall be paid by certified check or money order, made payable to the Colorado Department of Revenue **within 120** days following service of a copy of the fully executed Order, as reflected in the Certificate of Service below. Licensees shall contact Jasmin Quijano at the Division at jasmin.quijano@state.co.us to discuss procedures for delivery and payment of the fine.

    b. Licensees shall provide the Division with **updated Standard Operating Procedures ("SOPs")** related to Testing and Sampling **within 30 days** of service of the fully executed Order. Licensees shall

submit the SOPs to Jasmin Quijano at the Marijuana Enforcement Division at jasmin.quijano@state.co.us.

c. Licensees agree that **within 30 days** of service of the fully executed Order, Licensees shall submit, in writing, the following information to Jasmin Quijano at the Marijuana Enforcement Division at jasmin.quijano@state.co.us: (1) the identity of Licensees' Designated Test Batch Collectors; (2) whether the required training was provided in-house or by an approved third- party vendor, (3) the name(s) of the individual(s) and third-party vendor leading the training, (4) date(s) the training was conducted, (5) the topics covered in the training; and (6) names of all employees who successfully completed the training. By signing this Order, Licensees certify they understand the requirements of Marijuana Rules 4-225(D)(1), Required Sample Increment Collection Training, and 4-225(D)(3), Documentation of Required Test Batch Collector Training. The training currently offered through Metrc® does not satisfy the Designated Test Batch Collector Training requirement pursuant to Marijuana Rule 4-225(D)(2).

12. Licensees agree that Licensees will not recommit any of the violations related to the admissions in paragraph 10 above, and that Licensees shall remain in compliance with the Marijuana Code and Marijuana Rules.

13. Licensees acknowledge receipt of sufficient notice, advisement of rights, and wishes to resolve all issues, which were the subject of the investigation or in any way related to the investigation, by entering into this Order.

14. Except as reflected in this Order, neither the facts nor circumstances relating to the underlying complaint or investigation that formed the basis for this Order against Licensees nor any defenses that Licensees may have to such complaint and/or investigation shall be at issue in a proceeding against Licensees for failing to comply with the terms of this Order.

15. Licensees agree that if Licensees apply for a new license, or seeks reissuance or reinstatement of any license, registration, or permit pursuant to the Marijuana Code, or any successor to such Codes, the Division may consider the facts and circumstances surrounding this Order. Further, this Order and related circumstances shall be admissible as evidence at any future hearing before the State Licensing Authority and may be used in connection with any future actions by the State Licensing Authority.

16. Licensees agree that Licensees entered into this Order knowingly and voluntarily. The terms of this Order were mutually negotiated and agreed upon. Licensees understand they have the right to be represented by counsel of their choosing at Licensees' expense, and Licensees affirm that Licensees

have consulted with their legal counsel. Licensees have read this Order and fully understand its nature, meaning, and content. Licensees agree that upon execution of this Order, no subsequent action or claim or assertion shall be maintained or pursued by Licensees asserting the invalidity in any manner of this Order.

17. Licensees further understand and knowingly and voluntarily waives the following rights:

    a. The right to a public hearing on the merits of the matters forming the basis of this Order;

    b. The right to cross-examine all witnesses against Licensees at a public hearing;

    c. The right to subpoena witnesses and documents, to present evidence and to testify on Licensees' own behalf at a public hearing;

    d. The right to engage in pre-hearing exchange of evidence with the Division, and to review the Division's evidence prior to hearing; and

    e. The right to file exceptions and seek administrative review of an initial decision.

18. By signing this Order, Licensees consent to the terms and conditions described herein and agrees to waive the right to judicial review of this Order pursuant to section 24-4-106, C.R.S.

19. Upon execution by all parties, this Order shall have the same force and effect as an order entered after a formal hearing pursuant to sections 24-4-105 and 44-10-901, C.R.S., except that it may not be appealed. Failure to comply with the terms of this Order may be sanctioned by the State Licensing Authority as set forth in the Marijuana Code.

20. Upon execution by all parties, this Order shall represent the entire and final agreement of the parties. In the event that any provision of this Order is deemed unenforceable by a court of competent jurisdiction, or, if challenged, the State Licensing Authority determines that a provision is unproven, such provision shall be severed, unless material to the Order, and the remainder of this Order shall be given full force and effect.

21. This Order shall be binding upon Licensees individually and shall inure to the benefit of the parties to this Order and their respective successors and assigns, and shall be construed in accordance with, and governed by, the laws of the State of Colorado.

22. All costs and expenses incurred by Licensees to comply with this Order shall be the sole responsibility of the Licensees and shall not in any way be the obligation of the Division. Costs for which Licensees are exclusively responsible include, but are not limited to, litigation costs, costs incurred by Licensees for any court appointee(s), attorneys' fees, and costs incurred by Licensees for any other professional expenses.

23. Upon approval and order of the State Licensing Authority, this Order shall become a permanent part of the record and shall be open to public inspection and published pursuant to the Division's standard policies and procedures and applicable law.

24. This Order shall be effective on the date this Order is served upon the parties as set forth in the attached Certificate of Service. Should the State Licensing Authority reject the terms hereof, Licensees may withdraw the admissions herein, engage in renegotiation of the terms, or agree to re-set this matter for an administrative hearing on the Order to Show Cause.

25. This Order may be executed by electronic means (facsimile, e-mail, DocuSign, etc.), and any signature delivered electronically will be deemed to be as valid as an original signature.

26. For the purpose of addressing any future violations of the Order, the Marijuana Code and/or the Marijuana Rules shall hereby include all later adopted codes, rules, or regulations that are in effect at the time of the violation(s).

27. This Order constitutes the entire agreement and understanding between the parties and supersedes all prior agreements and promises related to the allegations, facts, and issues that are the subject of this Order, written or oral between the parties, which modify, interpret, construe, or affect this Order. Any other allegations, facts and issues not specifically raised or addressed in this Order have not been considered by the parties and are not made a part of this Order.

Signature Page to Follow

Dominique D. Mendiola Digitally signed by Dominique D. Mendiola Date: 2026.01.25 21:25:51 -07'00' Dominique D. Mendiola Senior Director Marijuana Enforcement Division Dated in Electronic Signature Above	[redacted] Danielle Marie Sherman, individually and as the [redacted] owner of Grateful Grove, LLC, Owner –Owner-Individual License No. M155573 1/3/26 Date

ORDERED AND APPROVED on the date set forth in the electronic signature below.

Heidi Humphreys Digitally signed by Heidi Humphreys Date: 2026.01.28 12:01:43 -07'00'

Heidi Humphreys
Executive Director/CEO
Colorado Department of Revenue
State Licensing Authority

CERTIFICATE OF SERVICE

I hereby certify that a true and accurate copy of the foregoing **STIPULATION, AGREEMENT AND ORDER** was duly placed in the United States Mail, first class postage pre-paid and sent via electronic mail, on the date set forth in the electronic signature below, addressed as follows:

Sean T. McAllister, Esq. McAllister Law Office, P.C. 4035 E. 3rd Avenue Denver, CO 80220 Email: [redacted] *Attorney for Respondents*	John B. Viverito Senior Assistant Attorney General Colorado Department of Law Marijuana, Liquor & Bankruptcy Unit Revenue & Regulatory Law Section Ralph L. Carr Colorado Judicial Center 1300 Broadway, 8th Floor Denver, CO 80203 Email: john.viverito@coag.gov; melissa.young@coag.gov raquel.mendez@coag.gov jenni.lehman@coag.gov *Counsel for the Marijuana Enforcement Division*

By: Jennifer Bruner Digitally signed by Jennifer Bruner Date: 2026.01.28 15:35:39 -07'00'

Jennifer Bruner